

GS F313 : Marxian Thought

Assignment



**Manifestation of Crisis Tendencies in Indian Society: A
Marxian Analysis of the Indian Financial System**

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Introduction

In the intricate web of capitalism, the sphere of monetary policy and money supply plays a pivotal role, influencing the lives of ordinary people directly dependent on it. This study delves into the crisis tendencies within India's monetary system, mainly focusing on the functioning of banks, loans, and taxes. Employing a Marxian perspective, we aim to unravel how the pursuit of profit, intrinsic to capitalism, manifests itself in this critical sector.

Banks and Loans

Pre-independence India had a banking system primarily serving the interests of colonial rulers and the elite. Loans were predominantly offered to large landowners, traders, and established businesses. This exclusion of the agrarian and rural populace from credit facilities entrenched socio-economic divides. The banking system perpetuated the capitalist structure, benefitting the already wealthy and privileged sections while marginalizing the majority.

Since 1947...

In the post-independence era, the Indian banking sector has continued to charge relatively high-interest rates on loans. Small and marginal farmers and rural artisans often still resort to informal moneylenders due to limited access to formal sources of credit at affordable rates. This has widened the economic disparities between the rural and urban areas, with the rural poor subjected to the vicious trap of high-interest debt cycles. Gajendra Singh, a farmer who tragically took his life during a 2015 political rally in Delhi, epitomized the struggles of many Indian farmers. His story reflects the Marxist analysis of debt traps in India,

highlighting systemic issues within capitalism highlighting how inadequate financial support and unfavorable loan conditions further exacerbated the challenges farmers faced.

State Policies and Banking Institutions

In India, the push for bank privatization aligns with capitalist ideals of market efficiency and reduced government intervention. Privatization aims to enhance competitiveness and innovation in the banking sector. For instance, in 2021, the government announced plans to privatize two state-owned banks, citing the need for better efficiency and improved access to capital. However, critics argue that privatization could deepen inequalities. In India, a significant portion of the population relies on public sector banks, especially in rural areas. Stats show that as of 2020, state-owned banks accounted for around 60% of India's banking sector, serving a broad spectrum of customers, including those in underserved regions. While privatization might bring efficiency gains, concerns persist about reduced access to banking services for marginalized communities. Critics also fear that profit-driven motives in private banks could prioritize lucrative markets, leaving behind those in need. This tension underscores the challenges of balancing market dynamics with equitable access to essential financial services in a country like India.

Financial Inclusion and Illusion of Equality

The Jan Dhan Yojana aimed for financial inclusion in India by opening millions of bank accounts, but it faced criticism for its efficiency. Despite opening numerous accounts, a significant portion remained dormant or had minimal activity, with around 30% having zero balances in 2021. Additionally, reports highlighted issues of misuse for illicit activities. The scheme lacked robust financial services beyond basic

account creation, especially for rural communities. Insufficient financial literacy programs further hindered its impact, emphasizing the need for a more comprehensive approach to ensure genuine financial inclusion.

NPAs

The creation trend of non-performing assets (NPAs) in Indian banks reflects their favoritism towards large corporate borrowers. Banks have provided significant loans to influential corporate entities without adequate collateral and risk assessment. More than 31 individuals that include names like Vijay Mallya, Nirav Modi, and Mehul Choksi collectively owe Rs40,000 crore to banks and public institutions in India. Out of the total Rs 14,56,226 crore, written off loans of large industries and services stood at Rs 7,40,968 crore. This phenomenon aligns with the Marxist view of capital centralization i.e. concentration of capital in the hand of few

The Tax System

According to Oxfam (an international NGO that focuses on alleviating global poverty), 73% of the wealth generated went to the wealthiest 1%. The Indian Tax system's faults are highlighted by economist S Subramanian's 2020 proposal of a 4% tax on the wealthiest families, yielding the equivalent of 1% in GDP in additional taxes. This shows that the wealthy are minimally affected, hindering proper taxation. Meanwhile, the burden falls disproportionately on the poor, contributing to economic inequality.

Corporate Taxation

The capitalist system prioritizes the corporation's benefits. Corporate taxes do not adequately consider the profit-maximizing tendencies of capitalism. Corporations often practice profit shifting and tax evasion by utilizing legal loopholes and offshore tax havens in an attempt to minimize their tax liabilities. In another study by Oxfam, "Tax Battles: the Dangerous Global Race to the Bottom on Corporate Tax", India lost an estimated \$6 billion in revenue due to corporate tax incentives in the fiscal year 2017-2018.

Capital Gains Tax (CGT)

A tax on the profit received from the sale of capital assets is known as capital gains tax. It is computed using different rates for short- and long-term gains by deducting the purchase price from the sale price. One notable example of individuals benefiting from capital gains tax in India is through investments in the stock market. Investors strategically buying and selling stocks can benefit from the preferential tax treatment on long-term capital gains. Long-term capital gains on equity investments held for more than one year are taxed at a lower rate than short-term gains. (Income Tax Act 1961 amended by Finance Act 2021).

GST

The introduction of GST simplified the indirect tax system in India, which was highly fragmented. GST is also aimed at bringing uniformity in tax rates, minimizing the cascading effect of taxes, and establishing a common national market.

According to an analysis by The Wire, under the GST regime, reliance on indirect taxes has increased. When GST was first implemented in the financial year 2017-18, the direct tax was 52% of the gross tax revenue and went down 47% in 2020-21 and as of 2021-22, stands at 49% . Also, the share of corporate tax in the gross tax revenue has gone down from 32% in the financial year 2017-18 to 25% in 2021-22.

Conclusion

As of recent years, India's economic policies continue to balance between capitalist principles and addressing economic disparities. The 2023 budget emphasized various initiatives, including increased spending on infrastructure, healthcare, and education. However, allocating funds and implementing these policies often reflect capitalist tendencies, impacting economic equality.

The Reserve Bank of India (RBI) policies have maintained a focus on controlling inflation, which sometimes limits credit availability. For instance, recent statistics indicate that credit growth for industries like micro, small, and medium enterprises has been lower than overall bank credit growth, potentially exacerbating disparities in lending.

Additionally, the push for Foreign Direct Investment (FDI) continues, aiming to attract foreign capital. While FDI can bring in investment, its impact may disproportionately benefit specific sectors or regions, potentially favoring urban centers over rural areas and exacerbating economic inequalities.

Overall, India's current economic policies, reflected in the 2023 budget and RBI initiatives, attempt to balance growth objectives with addressing disparities. However, the distribution and implementation of

these policies often reflect capitalist tendencies, potentially widening economic inequalities between different sectors and regions.

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